

INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02306

Report ID:	AR-02306
Audit Type:	Vendor Risk Audit
Report Date:	February 20, 2024
Audit Period:	2023-03-19 to 2024-02-17
Lead Auditor:	James Cooke (EMP-22346)
Reviewed By:	Robert Mullins (EMP-63230)
Primary Vendor Reference:	MeridianTech Inc (VND-03349)
Subject Employee Reference:	Cynthia Middleton (EMP-22569)
Primary Transaction Reference:	TXN-263599
Overall Risk Rating:	LOW

1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2023-03-19 to 2024-02-17 and focused on transactions and approvals associated with vendor MeridianTech Inc (VND-03349). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **LOW** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-263599 (amount 2,057.76 EUR) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-002514	LOW	VENDOR RISK	High-risk vendor PeakVault Services Inc has no compliance record on file. Payment of \$214,361 released without compliance clearance.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000993	APPROVAL RECORD	EVD-RHJ-9134	0.85
EVI-012589	HR RECORD	EVD-IDL-1192	0.63
EVI-019391	POLICY DOCUMENT	EVD-LXR-7116	0.57
EVI-019884	CONTRACT RECORD	EVD-JHT-3324	0.94

5. RECOMMENDATIONS

- Restrict post-termination system access to prevent ghost-approver scenarios.
- Introduce automated system validation to block approvals exceeding the approver's authorised limit.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	James Cooke	EMP-22346	2024-02-20
Reviewing Officer	Robert Mullins	EMP-63230	2024-02-22